

3MTT CAPSTONE EXECUTIVE INSIGHT SUMMARY

Project: POS Agent Revenue Insights & Analytics | **Location:** Yaba, Lagos | **Period:** March 2026

EXECUTIVE SUMMARY & PROBLEM STATEMENT

Point of Sale (POS) agents in Nigeria serve as critical financial access points, handling high transaction volumes daily. However, most operators face severe **revenue opacity** due to uncalculated bank commissions, arbitrary customer fee structures, and capital lockups from un-reconciled transaction failures. This project analyzes 268 transaction records for a Lagos agent to establish clear operational visibility, isolate net profit drivers, and minimize network downtime losses.

₦3,234,500 Total Volume	₦31,261 Net Profit (26.3% Margin)	268 Total Transactions	92.9% Success Rate (249/268)	₦125.55 Avg Profit / Tx
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KEY OPERATIONAL & REVENUE INSIGHTS

Service Category	Tx Count	Total Volume (₦)	Customer Fees (₦)	Provider Fees (₦)	Net Profit (₦)	% Profit Share
Cash-Out (Withdrawal)	152	1,672,000	31,400	10,015	21,385	68.4%
Cash-In (Deposit)	62	1,322,000	7,600	1,190	6,410	20.5%
Bill Payments	32	203,000	3,100	200	2,900	9.3%
Airtime Purchase	22	37,500	600	34	566	1.8%
TOTAL / OVERALL	268	3,234,500	42,700	11,439	31,261	100.0%

- Cash-Out Dominance:** Cash withdrawals generate **68.4%** of total net income (₦21,385), making cash availability the single most critical driver of business profitability.
- Afternoon Peak Volume (12 PM – 4 PM):** **55.2%** of total volume (₦1,822,500) and **58.2%** of profit occurs in the afternoon block. Float exhaustion during these hours directly leads to lost revenue.
- Network Reliability Variance:** High-tier traditional banks (Access Bank, First Bank) achieved a **100% transaction success rate**. In contrast, fintech channels experienced elevated failure rates (Moniepoint: **15.6% failed**, OPay: **14.3% failed**, Zenith: **10.5% failed**), holding up agent float during peak trading hours.

STRATEGIC RECOMMENDATIONS FOR POS AGENTS

- Dynamic Float Management:** Restructure daily cash reserve strategy to hold **65% of cash float** ready before 11:30 AM to capture peak afternoon withdrawal demand without turning customers away.
- Multi-Terminal Smart Routing:** Implement a dual-POS setup (e.g., primary fintech terminal paired with an Access/FirstBank backup). Automatically route high-value transactions (>₦20,000) away from volatile networks during peak hours.
- Fee Optimization on Low-Margin Services:** Re-evaluate Airtime and Deposit fees; transition Airtime customers to digital self-service or bundle bill payments to increase margin per customer interaction.
- Automated Claims Logging:** Reconcile failed transactions daily using structured logs to track pending reversals, recovering ₦15,000+ in tied-up float within 24 hours.